Accounts & Finance — Promotion Exam Notes

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How to use these notes

Sections 1–16 are built strictly from the trainer material (29 slides) and cover: accounting standards and principles, Companies Act provisions, accounting abbreviations, bank reconciliation, IFRS / Ind AS, the IRDAI (Actuarial, Finance and Investment Functions of Insurers) Regulations 2024, insurance accounting definitions, solvency, premium and investment accounting, final accounts, policyholders' and shareholders' funds, employee loans, capital, expenses of management and ratio analysis.

The **Appendix — "Beyond the slides"** (Section A) is clearly separated. It adds the surrounding context that examiners frequently draw on — the prescribed financial statement forms and schedules, reserving concepts, the solvency control level, the investment pattern and the standard ratios — for completeness. Treat it as supplementary reading.

Every section ends with a **Key figures** box, and a one-page **Quick revision** list closes the notes.

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1. Accounting Standards — meaning and benefits

1.1 What an accounting standard is

Accounting Standards (AS) are written policy documents issued by an expert accounting body, the government or another regulatory body. They lay down common principles and procedures for doing the accounts and define the basis of financial accounting policies and practices. They cover five aspects of an accounting transaction in the financial statements:

1. **Recognition** — when an item enters the books;
2. **Measurement** — at what amount;
3. **Treatment** — how it is accounted;
4. **Presentation** — where and how it appears in the statements;
5. **Disclosure** — what must be explained in the notes.

1.2 Benefits of accounting standards

- **Uniformity** in accounting is ensured across entities.
- Financial statements become **reliable**.
- **Comparability** — one entity can be compared with another and one period with another.
- They **assist the auditors** by giving an agreed benchmark.
- They help **measure the performance of management** of an entity.

1.3 The standard-setting machinery in India

- In **1977** the **Accounting Standards Board (ASB)** was constituted and made responsible for formulating accounting standards in India.
- The ASB functions under the **Institute of Chartered Accountants of India (ICAI)**.
- **Indian Accounting Standards (Ind AS)** are a set of financial-reporting standards **harmonised with IFRS** (International Financial Reporting Standards) to give Indian companies global accessibility and transparency. They are developed under the supervision of the ASB of ICAI, in consultation with the **National Financial Reporting Authority (NFRA)**.
- The material describes Ind AS as "the primary accounting standards adopted by companies in India".

> **Note (2025–26):** Ind AS applies only to the classes of companies notified by the MCA (see Section 7). Insurers in India continue to prepare their statutory accounts under the older **AS** framework as modified by IRDAI; the transition of insurers to Ind AS 117 is being managed separately by IRDAI.
>
> **Key figures — Section 1** - ASB constituted: **1977**, under **ICAI**. - Five aspects covered by a standard: recognition, measurement, treatment, presentation, disclosure. - Five benefits: uniformity, reliability, comparability, help to auditors, performance measurement. - Ind AS = Indian standards converged with **IFRS**; consultation body: **NFRA**.

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2. Accounting principles (GAAP) and the accounting equation

Accounting principles are the common guidelines and rules for accounting transactions that are followed so that financial statements can be prepared successfully. Together they are called **Generally Accepted Accounting Principles (GAAP)**.

2.1 The five basic accounting principles

#	Principle	What it says
1	**Accrual principle**	Record income and expense when they are earned or incurred, not when cash moves.
2	**Conservatism (prudence) principle**	Anticipate losses, never anticipate profits; when in doubt choose the lower asset / higher liability value.
3	**Economic entity principle**	The business is separate from its owners; only business transactions enter its books.
4	**Consistency principle**	Once a method is chosen, apply it consistently from period to period.
5	**Going concern principle**	Assume the entity will continue to operate in the foreseeable future.

2.2 The accounting equation

- **Capital = Assets − Liabilities**

- **Assets = Capital + Liabilities**

The balance sheet is simply this equation written out: what the business owns (assets) is financed either by the owners (capital) or by outsiders (liabilities).

> **Key figures — Section 2** - GAAP = Generally Accepted Accounting Principles. - Five principles: Accrual, Conservatism, Economic Entity, Consistency, Going Concern. - Assets = Capital + Liabilities.

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3. The list of Indian Accounting Standards (AS)

The material states that ICAI has issued **32 standards** so far. The standards named in the material are:

AS	Title
AS 1	Disclosure of Accounting Policies
AS 2	Valuation of Inventories (stock valuation)
AS 3	Cash Flow Statements
AS 4	Contingencies and Events Occurring After the Balance Sheet Date
AS 5	Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies
AS 7	Construction Contracts
AS 9	Revenue Recognition
AS 10	Property, Plant and Equipment
AS 11	The Effects of Changes in Foreign Exchange Rates
AS 12	Accounting for Government Grants (the material notes a *partial exemption* from application of AS 12)
AS 13	Accounting for Investments
AS 14	Accounting for Amalgamations
AS 15	Employee Benefits
AS 16	Borrowing Costs
AS 17	Segment Reporting
AS 18	Related Party Disclosures
AS 19	Leases
AS 20	Earnings Per Share
AS 21 (Revised)	Consolidated Financial Statements
AS 22	Accounting for Taxes on Income
AS 23	Accounting for Investments in Associates
AS 24	Discontinuing Operations
AS 25	Interim Financial Reporting
AS 26	Intangible Assets
AS 27	Financial Reporting of Interests in Joint Ventures
AS 28	Impairment of Assets
AS 29	Provisions, Contingent Liabilities and Contingent Assets

> **Note (2025–26):** Of the 32 standards originally issued by ICAI, AS 6 (Depreciation) was merged into AS 10, AS 8 (R&D) was merged into AS 26, and AS 30, 31 and 32 (financial instruments) were withdrawn. The standards notified under the Companies (Accounting Standards) Rules, 2021 are therefore **AS 1 to AS 29, excluding AS 6 and AS 8** (27 standards). The gaps at AS 6 and AS 8 in the material's list reflect this.

3.1 Standards most relevant to insurers — quick memory hooks

- **AS 3** — cash flow (insurers: direct method only).
- **AS 13** — investments (not applicable to insurers; IRDAI prescribes its own valuation).
- **AS 17** — segment reporting (applies to *all* insurers).
- **AS 15** — employee benefits (gratuity, pension, leave encashment provisioning).
- **AS 22** — taxes on income (deferred tax asset / liability).
- **AS 29** — provisions and contingent liabilities (relevant to outstanding claims and litigation).

> **Key figures — Section 3** - ICAI issued **32** AS in all; AS 1 = Disclosure of Accounting Policies; AS 3 = Cash Flow; AS 13 = Investments; AS 17 = Segment Reporting; AS 29 = Provisions.

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4. Applicability of AS to general insurers

AS as notified under the **Companies Act, 2013** apply to insurers carrying on general insurance business **to the extent applicable**, with **three exceptions**:

Standard	Modification for general insurers
AS 3 — Cash Flow Statements	The cash flow statement shall be prepared **only under the Direct Method**.
AS 13 — Accounting for Investments	**Shall not be applicable.** (Investment valuation follows the IRDAI procedure — see Section 13.)
AS 17 — Segment Reporting	**Shall apply to all insurers**, irrespective of the listing and turnover thresholds mentioned in the standard itself.

This is one of the most frequently examined slides: remember *3 – direct, 13 – not applicable, 17 – all insurers*.

> **Key figures — Section 4** - AS 3: direct method only. AS 13: not applicable. AS 17: applies to all insurers regardless of listing/turnover.

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5. Companies Act, 2013 — sections to remember

Section	Subject
Section 128	Books of account etc. to be kept by the company
Section 135	Corporate Social Responsibility (CSR)
Section 138	Internal audit
Section 139	Appointment of auditors. **Section 139(7)** deals with the appointment of auditors of a **Government company** or any other company owned or controlled, directly or indirectly, by the Central Government or by any State Government (the auditor is appointed by the Comptroller and Auditor General of India).
Section 149	Company to have a Board of Directors
Section 177	Audit Committee

Memory aid in numerical order: 128 (books) – 135 (CSR) – 138 (internal audit) – 139 (auditors) – 149 (Board) – 177 (Audit Committee).

> **Key figures — Section 5** - CSR: s.135. Auditors: s.139; Government company auditors: s.139(7). Board: s.149. Books of account: s.128. Internal audit: s.138. Audit Committee: s.177.

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6. Accounting abbreviations and acronyms

Abbreviation	Full form
GL	General Ledger
GAAP	Generally Accepted Accounting Principles
ASB	Accounting Standards Board (the material also expands it as *Auditing Standards Board* — see note)
EPS	Earnings Per Share
ROE	Return on Equity
ROA	Return on Assets
P/E ratio	Price-to-Earnings ratio
ROI	Return on Investment
CFO	Chief Financial Officer
LLC	Limited Liability Company
LLP	Limited Liability Partnership
ROC	Registrar of Companies
CAPEX	Capital Expenditure
OPEX	Operating Expense
DTA	Deferred Tax Asset
DTL	Deferred Tax Liability
FIFO	First-In, First-Out
LIFO	Last-In, First-Out
WIP	Work in Progress
WACC	Weighted Average Cost of Capital
NPV	Net Present Value
KMP	Key Management Person (Key Managerial Personnel)
IASB	International Accounting Standards Board
IFRS	International Financial Reporting Standards
EBITDA	Earnings Before Interest, Taxes, Depreciation and Amortisation
NCLT	National Company Law Tribunal
NCLAT	National Company Law Appellate Tribunal

> **Note (2025–26):** In India "ASB" of ICAI is the **Accounting** Standards Board; auditing standards are issued by ICAI's **Auditing and Assurance Standards Board (AASB)**. The "Auditing Standards Board" expansion is the US (AICPA) body. If a question asks what the Indian ASB does, answer *formulates accounting standards*.
>
> **Key figures — Section 6** - DTA/DTL, CAPEX/OPEX, FIFO/LIFO, WACC, NPV, EBITDA, NCLT/NCLAT, KMP, ROC.

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7. IFRS and Ind AS

7.1 IFRS

IFRS are accounting standards issued by the **International Accounting Standards Board (IASB)**. Their objective is a common accounting language that increases transparency in the presentation of financial information.

7.2 Ind AS

The two most important sets of standards for the Indian financial markets are **Ind AS** and **IFRS**. Financial reporting under Ind AS is highly comparable to IFRS; it simplifies financial accounting and disclosure for Indian companies that want to reach global stakeholders.

7.3 Phased roll-out by the Ministry of Corporate Affairs (MCA)

- **2015**: MCA made Ind AS adoption mandatory for all listed companies and some others from **FY 2016–17**.
- **From 2018** the coverage was widened to:
- every **listed company**, irrespective of turnover;
- **non-listed companies** with net worth **≥ Rs 500 crore**;
- **NBFCs** with net worth **> Rs 250 crore but < Rs 500 crore**.

7.4 Insurance contracts

- **IFRS 17 — Insurance Contracts** deals with an insurer's insurance contracts and reinsurance contracts.
- **Ind AS 117 — Insurance Contracts** is the Indian standard aligned with IFRS 17.

> **Key figures — Section 7** - IFRS issued by **IASB**. Ind AS mandatory for listed companies from **FY 2016–17**. Non-listed net worth threshold **Rs 500 crore**; NBFC band **Rs 250–500 crore**. - Insurance contracts: **IFRS 17 ↔ Ind AS 117**.

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8. IRDAI (Actuarial, Finance and Investment Functions of Insurers) Regulations, 2024

Notified on **20 March 2024**, these regulations consolidated the earlier separate regulations on actuarial matters, preparation of financial statements, investments, and loans. They are supplemented by the **Master Circular on Actuarial, Finance and Investment Functions of Insurers dated 17 May 2024**.

8.1 Structure

Part	Content
Chapter I	Preliminary
Chapter II	Guiding principles for actuarial, finance and investment functions
Chapter III	Miscellaneous
Schedule I	Actuarial functions
Schedule II	Finance functions
Schedule III	Investment functions
Schedule IV	Loans and advances by insurance companies
Schedule V	Inspection and supply of returns

8.2 Reference documents cited in the material

1. IRDAI (Actuarial, Finance and Investment Functions of Insurers) Regulations, 2024 — dated 20 March 2024.
2. Master Circular on Actuarial, Finance and Investment Functions of Insurers — dated 17 May 2024.
3. IRDAI (Registration, Capital Structure, Transfer of Shares and Amalgamation of Insurers) Regulations, 2024.
4. IRDAI (Expenses of Management, including Commission, of Insurers) Regulations, 2024.

> **Key figures — Section 8** - Regulations dated **20 March 2024**; Master Circular **17 May 2024**. - Three chapters, **five schedules**: I Actuarial, II Finance, III Investment, IV Loans & Advances, V Inspection & Returns.

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9. Premium and claims — definitions

9.1 Premium definitions

Term	Definition
Gross Direct Premium (GDP / GDPI)	Premium booked **directly** from insureds / policyholders pertaining to the accounting year, **excluding** the GST element and **excluding** premium received in advance.
Gross Written Premium (GWP)	Gross Direct Premium **plus** inward reinsurance premium accepted during the period (premium on reinsurance accepted).
Net Premium (Net Written Premium / Net Retained Premium)	GWP **less** premium on reinsurance ceded — i.e. the insurer's retention after all types of reinsurance.
Net Earned Premium (NEP)	Net premium adjusted for the **movement in Unearned Premium Reserve (UPR)** during the period.
Premium received in advance	Premium where the risk **incepts outside** the accounting period; shown under **current liabilities**.
Unallocated premium	Premium deposits and premium received for which the **risk has not commenced**; shown under current liabilities.
Unearned Premium Reserve (UPR)	That part of the premium written which is attributable to and allocated to **succeeding** accounting periods.
Premium Deficiency Reserve (PDR)	Recognised when **expected claim costs + expenses + maintenance costs exceed** the related UPR.
Reserve for Unexpired Risks (URR)	Reserve for liabilities under unexpired risks, determined as **UPR + PDR**.

Formula chain to remember:

- GWP = GDP + RI accepted
- Net Premium = GWP − RI ceded
- NEP = Net Premium − (closing UPR − opening UPR)
- URR = UPR + PDR

9.2 Claims definitions

- **Gross Incurred Claims** = Gross claims paid (direct + RI accepted) **+** gross claims outstanding at the **end** of the period (direct + RI accepted) **−** gross claims outstanding at the **beginning** of the period (direct + RI accepted). Gross outstanding claims **include gross IBNR / IBNER**.
- **Net Incurred Claims** = Net claims paid **+** net claims outstanding at end **−** net claims outstanding at beginning. Net outstanding claims include **net IBNR / IBNER**.
- **Net claims** = Gross claims **less** reinsurance recoveries.

9.3 Insurance accounting terms (reserves)

Term	Meaning
Claim reserves	Reserves for claims that have **already occurred** as on the valuation date.
Allocated Loss Adjustment Expenses (ALAE)	Claim-related expenses **directly attributable to a specific claim** (surveyor fees, legal costs on a claim, etc.).
IBNR reserves (Incurred But Not Reported)	Provision for claims incurred but not yet reported, **plus** claims in transit on the valuation date, **plus** ALAE, **plus** an estimate for **reopened claims**.
IBNER reserves (Incurred But Not Enough Reported)	Reserves for the expected **change in the estimates of already-reported claims**, including ALAE.
Unexpired Risk Reserves	Liabilities for unexpired risks = **UPR + PDR** (same as URR above).

> **Key figures — Section 9** - GDP excludes GST and advance premium. GWP = GDP + RI accepted. Net Premium = GWP − RI ceded. NEP adjusts for UPR movement. - URR = UPR + PDR. PDR arises when expected claims + expenses > UPR. - Incurred claims = paid + closing O/S − opening O/S (O/S includes IBNR/IBNER). - IBNR covers unreported claims, claims in transit, ALAE and reopened claims; IBNER covers development on reported claims.

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10. Solvency — asset valuation, ASM, RSM and the ratio

10.1 Assets valued at zero for solvency margin computation

The following assets are **placed at value zero** when computing the solvency margin (i.e. they are *inadmissible*):

Asset	Condition
Agents' and intermediaries' balances and outstanding premiums **in India**	to the extent not realised within **30 days**
Premium receivable under **State / Central Government-sponsored schemes**	to the extent not realised within **365 days**
Agents' and intermediaries' balances and outstanding premiums **outside India**	if of unrealisable nature
Sundry debts, advances and receivables	to the extent of unrealisable nature
Furniture, fixtures, dead stock and stationery	fully
Deferred expenses	fully
Co-insurers' balances	outstanding for more than **90 days**
Indian reinsurers and foreign reinsurers having branches in India — balances	outstanding for more than **365 days**
Other reinsurers' balances	outstanding for more than **180 days**
GST unutilised credit	outstanding for more than **120 days**
Fictitious assets	fully
Debit balance of Profit & Loss Appropriation Account	fully
Deferred Tax Asset arising from **accumulated losses**	fully (100%)
Deferred Tax Asset other than from accumulated losses	**75%** placed at zero (only 25% admitted)

Memory ladder for the day-counts: **30 (agents in India) – 90 (co-insurers) – 120 (GST credit) – 180 (other reinsurers) – 365 (Govt schemes; Indian RI / FRBs)**.

10.2 Available Solvency Margin (ASM)

ASM = the excess of the **value of assets** (subject to the admissibility criteria) available in the policyholders' and shareholders' funds **over** the **technical liabilities and other liabilities** of the policyholders' and shareholders' funds.

10.3 Required Solvency Margin (RSM)

RSM is the **higher of RSM 1 and RSM 2**, computed **separately for each specified line of business** and then totalled.

- **RSM 1 (premium basis)** = **20%** of the higher of:
- Gross Premiums × **Factor A** (Table IA), and
- Net Premiums.
- **RSM 2 (claims basis)** = **30%** of the higher of:
- Gross Incurred Claims × **Factor B** (Table IA), and
- Net Incurred Claims.

The factors A and B are line-of-business-specific values set out in Table IA of the regulations; they place a floor on the credit an insurer can take for reinsurance.

10.4 Solvency ratio

Solvency Ratio = Total ASM ÷ Total RSM.

> **Note (2025–26):** The regulatory **control level of solvency is 1.50 (150%)** — an insurer must maintain ASM of at least 1.5 times RSM at all times (see Appendix A.3).
>
> **Key figures — Section 10** - Zero-value thresholds: agents' balances in India **30 days**; co-insurers **90 days**; GST credit **120 days**; other reinsurers **180 days**; Govt schemes and Indian RI/FRB balances **365 days**; DTA (other than losses) **75%** disallowed. - RSM 1 = **20%** × max(GP × Factor A, NP). RSM 2 = **30%** × max(GIC × Factor B, NIC). RSM = higher of the two, by LOB. - Solvency ratio = ASM / RSM; control level **150%**.

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11. AS 3 — Cash Flow Statements

AS 3 provides information about the **historical changes in cash and cash equivalents** of an enterprise through a cash flow statement that classifies cash flows for the period into three activities:

1. **Operating activities** — the principal revenue-producing activities (for an insurer: premium collected, claims paid, commission and expenses paid);
2. **Investing activities** — acquisition and disposal of long-term assets and investments;
3. **Financing activities** — changes in the size and composition of owners' capital and borrowings (share issue, dividends, subordinated debt).

Two methods exist for presenting operating cash flows:

- the **direct method** (major classes of gross cash receipts and payments are shown), and
- the **indirect method** (net profit is adjusted for non-cash items and working-capital changes).

Insurers must use the direct method only (Section 4).

> **Key figures — Section 11** - Three classifications: operating, investing, financing. Two methods: direct, indirect. Insurers: **direct only**.

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12. Premium recognition and the unearned premium reserve

12.1 Recognition

- Premium shall be recognised as income **over the contract period or the period of risk, whichever is appropriate**.
- **Premium received in advance** → shown under **current liabilities**.
- **Unallocated premium** → shown under **current liabilities**.

12.2 Creating the reserve for unearned premium

A reserve for unearned premium shall be created as under:

Segment	Reserve
Marine Hull	**100%** of Net Written Premium during the preceding twelve months
Other segments	**50%** of Net Written Premium during the preceding twelve months
Alternative (all segments)	On the basis of the **proportion of the unexpired period to the total period** of the respective policies (the "1/365" or pro-rata method)

Any **change in the method of provisioning** can be made only with the **prior written approval of the Competent Authority** (IRDAI).

> **Key figures — Section 12** - UPR: Marine Hull **100%** of NWP; others **50%** of NWP; or pro-rata by unexpired period. Change of method needs IRDAI's prior written approval.

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13. Valuation of investments for accounting purposes

Since AS 13 does not apply to insurers, the IRDAI regulations prescribe how each class of investment is valued at the balance-sheet date:

Class of investment	Valuation basis	Treatment of gains / losses
Real estate	**Historical cost**	Changes in carrying amount (revaluation) go to **equity under "Revaluation Reserve"**
Debt securities (incl. government securities and redeemable preference shares)	Treated as **"held to maturity"**; measured at **historical cost** (premium/discount amortised over the remaining term)	—
Equity securities and derivative instruments traded in active markets	**Fair value** as at the balance-sheet date	Unrealised gains/losses go to **equity under "Fair Value Change Account"**
Unlisted / not actively traded equity and derivatives	**Historical cost**	—
Loans	**Historical cost**, subject to impairment provisions	—

> **Key figures — Section 13** - Real estate: cost → Revaluation Reserve. Debt: HTM at cost. Listed equity: fair value → Fair Value Change Account. Unlisted equity & loans: cost (loans subject to impairment).

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14. Final accounts of insurers

14.1 General instructions for preparing financial statements

- **Corresponding amounts for the immediately preceding financial year** must be shown for all items in the Balance Sheet, Revenue Account and Profit & Loss Account.
- Figures may be **rounded off to the nearest lakh**.
- **Income tax deducted at source** on interest, dividends and rentals receivable on investments (shown on a gross basis) is included under **"advance taxes paid"**.
- All insurers must maintain **separate investment accounts for shareholders' and policyholders'** funds.
- **Provision** — any amount written off or retained for a known liability or loss **whose amount cannot be determined with substantial accuracy** (e.g. diminution in value of investments).
- **Reserve** — any amount written off or retained for a known liability (the material's example: depreciation). In general usage, a reserve is an appropriation of profit, while a provision is a charge against profit.

14.2 The three prescribed statements

Statement	Form	Whose account
Revenue Account	**Form B-RA**	Policyholders' Account
Profit and Loss Account	**Form B-PL**	Shareholders' Account
Balance Sheet	**Form B-BS**	—

The prefix **"B"** denotes general (non-life) insurance business; the corresponding life forms carry prefix "A".

14.3 Segments for which separate schedules are prepared

Separate schedules (segmental Revenue Accounts) are prepared for:

1. **Motor** — sub-segments (a) Motor Own Damage and (b) Motor Third Party;
2. **Health** — sub-segments (a) Health, (b) Personal Accident and (c) Travel;
3. **Workmen's Compensation / Employer's Liability**;
4. **Public / Product Liability**;
5. **Engineering**;
6. **Aviation**;
7. **Crop**;
8. **Any other sub-segment contributing more than 10% of the insurer's total gross direct premium** — shown separately;
9. **Others**;
10. Any other segment as may be specified by the Authority.

(Fire and Marine — Cargo and Hull — are the traditional primary segments reported alongside the Miscellaneous sub-segments listed above.)

> **Key figures — Section 14** - Forms: **B-RA** (Revenue / policyholders), **B-PL** (P&L / shareholders), **B-BS** (Balance Sheet). - Rounding: nearest **lakh**. TDS on investment income → "advance taxes paid". Separate investment accounts for SH and PH funds. - Separate-schedule threshold for any other sub-segment: **>10%** of GDP.

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15. Policyholders' funds and shareholders' funds

15.1 Policyholders' funds

Policyholders' funds comprise:

1. Estimated liability for **outstanding claims**, including **IBNR and IBNER**;
2. **Unexpired Risk Reserve (URR)**;
3. **Catastrophe Reserve**;

4. **Premium Deficiency** (reserve);
5. **Other liabilities net of other assets** as at the balance-sheet date, where: - **Other liabilities** = (i) premium received in advance, (ii) unallocated premium, (iii) balance due to other insurance companies, (iv) due to other members of insurance pools (if applicable), (v) sundry creditors (due to policyholders); - **Other assets** = (i) outstanding premium, (ii) due from other entities carrying on insurance business including reinsurers, (iii) balance with insurance pools (if applicable).

15.2 Shareholders' funds

Shareholders' funds = **Share Capital + all Reserves and Surplus** (**excluding** the Revaluation Reserve and the Fair Value Change Account) **net of** accumulated losses and miscellaneous expenditure to the extent not written off, as at the balance-sheet date.

Why the exclusions? Revaluation Reserve and Fair Value Change Account represent *unrealised* gains and so are not counted as free shareholders' funds.

> **Key figures — Section 15** - PH funds = O/S claims (incl. IBNR/IBNER) + URR + Catastrophe Reserve + Premium Deficiency + (other liabilities − other assets). - SH funds = Share capital + Reserves & Surplus − Revaluation Reserve − FVCA − accumulated losses − misc. expenditure not written off.

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16. Loans to employees, capital, other forms of capital and expenses of management

16.1 Loans and advances to employees (Schedule IV)

An insurer may grant loans or temporary advances **only to its full-time employees** and only for these purposes:

1. Purchase of a **car and/or two-wheeler**;
2. Purchase of a **personal computer** and other electronic devices;
3. Purchase of **furniture**;
4. Constructing / acquiring a **house** for personal use;
5. **Education of the children** of employees;
6. **Festival advance**;
7. Any other purpose **approved by the Board** of the insurer.

Limits and treatment:

- The **aggregate of all loans** to a full-time employee shall **not exceed Rs 1 crore** and shall be **linked to the employee's fixed remuneration**.
- All such loans and advances are **not admissible** for the insurer's **Available Solvency Margin**.

16.2 Minimum paid-up equity capital

Business	Minimum paid-up equity capital
Life insurance	**Rs 100 crore**
General insurance	**Rs 100 crore**
Health insurance (exclusively)	**Rs 100 crore**
Reinsurance (exclusively)	**Rs 200 crore**

16.3 Other forms of capital

Under the IRDAI (Registration, Capital Structure, Transfer of Shares and Amalgamation of Insurers) Regulations, 2024, an insurer may raise funds through **"Other Forms of Capital"**:

- **Preference share capital**, and
- **Subordinated debt**.

Seniority of claims on the insurer (order of priority in a winding-up):

1. Claims of **policyholders**;
2. Claims of **creditors**;
3. Claims of **subordinated debt holders**;
4. Claims of **preference shareholders**;
5. Claims of **equity shareholders**.

16.4 Expenses of Management (EoM) — IRDAI (Expenses of Management, including Commission, of Insurers) Regulations, 2024

Expenses of Management comprise:

1. All expenses in the nature of **operating expenses** of insurance business;
2. **Commission** to insurance agents, intermediaries or insurance intermediaries;
3. **Commission and expenses on reinsurance inward** that are charged to the Revenue Account.

Insurtech expenses — expenses incurred on technology-enabled innovation in policyholder-oriented services that could result in new business models, applications, processes or products.

Limit for general insurance business: EoM shall not exceed **30% of gross premium written in India** in a financial year.

Additional allowable expenses (over and above the 30%):

Head	Allowance
Insurtech expenses and insurance awareness expenses	**5%** of the allowable expenses as calculated
Gross premium written **outside India** by foreign branches or IFSC	**10%** of such premium
Incremental premium from Rural sector business, PMSBY, PMFBY or any other notified scheme	**15%** of such incremental premium

Note (2025–26): The 2024 EoM regulations also set the limit for **stand-alone health insurers at 35%** of gross written premium in India. The earlier segment-wise commission caps have been replaced by a board-approved commission policy within the overall EoM limit.

Key figures — Section 16 - Employee loans: seven permitted purposes; cap **Rs 1 crore** per employee, linked to fixed pay; **not admissible** for ASM. - Minimum capital: **Rs 100 crore** (life / general / health); **Rs 200 crore** (reinsurance). - Other forms of capital: preference shares, subordinated debt. Priority: policyholders → creditors → sub-debt → preference → equity. - EoM limit: **30%** of GWP in India; extras **5% / 10% / 15%**.

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17. Ratio analysis

Ratio	Formula	What it tells
Current ratio	Current assets ÷ Current liabilities	Short-term liquidity
Interest coverage ratio	Net profit before interest and tax ÷ Interest on long-term debt	Ability to service debt
Gross Direct Premium growth rate	(GDPI current year − GDPI previous year) ÷ GDPI previous year	Top-line growth
Growth rate of net worth	(Net worth CY − Net worth PY) ÷ Net worth PY	Capital growth
Net retention ratio	Net premium ÷ (Gross Direct Premium + Reinsurance accepted)	Share of risk retained
Net incurred claims ratio (loss ratio)	Net incurred claims ÷ Net earned premium	Claims cost per rupee of earned premium
Combined ratio	(Net incurred claims ÷ Net earned premium) **+** (Expenses of management incl. net commission ÷ Net written premium)	Underwriting efficiency; <100% means underwriting profit
Technical reserves to net premium ratio	(URR + Reserve for premium deficiency + Reserve for outstanding claims incl. IBNR & IBNER) ÷ Net premium	Adequacy of reserving
Underwriting balance ratio	Underwriting profit ÷ Net premium	Pure underwriting result
Operating profit ratio	(Underwriting profit/loss + Investment income) ÷ Net premium	Result after investment income
Net earnings ratio	Profit after tax ÷ Net premium	Bottom-line margin
Return on net worth	Profit after tax ÷ Net worth	Return to shareholders
Debt–equity ratio	Long-term debts ÷ Shareholders' funds	Leverage

Definitions used in the ratios:

- **Net worth** = Share capital + Reserves and surplus − (Miscellaneous expenditure + Debit balance in P&L account).
- **Net premium** (for the retention ratio) = Total gross premium (direct + accepted) net of reinsurance ceded.
- **Net working capital** = Current assets − Current liabilities.

> **Key figures — Section 17** - Combined ratio = loss ratio (NIC/NEP) + expense ratio (EoM incl. net commission / NWP). - Retention ratio denominator = GDP + RI accepted. Net worth excludes misc. expenditure and P&L debit balance.

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18. Bank Reconciliation Statement (BRS)

18.1 Purpose

A **Bank Reconciliation Statement** is prepared by a firm to reconcile the balance **as per its Cash Book** with the balance **as per the bank's Pass Book** (bank statement). Differences arise from three sources.

18.2 Causes of difference

(a) Timing differences in recording transactions

- Cheques issued but **not yet presented** for payment.
- Cheques paid into the bank but **not yet collected**.
- **Direct debits** made by the bank on behalf of the customer.
- Amounts **directly deposited** into the bank account.
- **Interest and dividends collected** by the bank.
- **Direct payments** made by the bank on behalf of the customer.
- Cheques deposited / bills discounted that are **dishonoured**.

(b) Errors committed by the firm

- Wrong amount debited or credited in the Cash Book.
- Omission of a transaction.

(c) Errors committed by the bank

- Wrong amount debited or credited in the Pass Book.
- Omission of a transaction.
- Error in totalling or balancing the bank column of the Pass Book.

18.3 Preparing the statement

The BRS starts with the **balance as per Cash Book** and arrives at the **balance as per Pass Book** — or vice-versa. Items are grouped by the direction in which they move the balance:

Items that increase the Pass Book balance (or decrease the Cash Book balance) — *add* when starting from Cash Book	Items that decrease the Pass Book balance (or increase the Cash Book balance) — *deduct* when starting from Cash Book
Cheques issued but not yet presented	Cheques sent for collection but not yet credited by the bank
Credits made by the bank for interest	Cheques paid in / bills discounted but dishonoured
Amounts directly deposited by customers into the bank account	Direct payments made by the bank
Interest and dividends collected by the bank	Bank charges, commission etc. debited by the bank
Cheques paid into the bank but omitted from the Cash Book	Cheques issued but omitted from the Cash Book

Rule of thumb: a *favourable* Cash Book balance (debit) corresponds to a *credit* balance in the Pass Book; if the starting figure is an overdraft, reverse the additions and deductions.

> **Key figures — Section 18** - Three causes: timing, firm's errors, bank's errors. - From Cash Book to Pass Book: **add** cheques issued not presented, bank interest, direct deposits; **deduct** cheques deposited not collected, dishonoured cheques, bank charges, direct payments.

Appendix A — Beyond the slides

The following material is not from the trainer slides. It summarises the wider IRDAI financial-reporting framework that promotion examinations commonly test alongside the topics above.

A.1 The prescribed financial statements and schedules

The format of insurers' accounts was originally laid down in the **IRDAI (Preparation of Financial Statements and Auditor's Report of Insurance Companies) Regulations, 2002**. These have now been subsumed into **Schedule II (Finance functions)** of the 2024 Actuarial, Finance and Investment Functions Regulations and the May 2024 Master Circular, but the forms and schedule numbering are essentially unchanged.

A.1.1 Statements for a general insurer

Form	Statement	Key content
B-RA	Revenue Account (Policyholders') — prepared **segment-wise** (Fire, Marine, Miscellaneous and the sub-segments in Section 14.3)	Premium earned (net) + profit on sale of investments + investment income apportioned to PH funds − claims incurred (net) − commission (net) − operating expenses = **operating profit/loss** transferred to P&L
B-PL	Profit and Loss Account (Shareholders')	Operating profit from each Revenue Account + income from investments (SH funds) + other income − provisions (diminution in investments, doubtful debts) − other expenses − tax = profit after tax; appropriations (dividend, transfers to reserves)
B-BS	Balance Sheet	Sources of funds (share capital, reserves, fair value change account, borrowings) and application of funds (investments, loans, fixed assets, net current assets, misc. expenditure)

The Revenue Account is drawn up separately for **Fire, Marine and Miscellaneous** business, with the Miscellaneous account further broken into the sub-segments (Motor OD, Motor TP, Health, PA, Travel, WC, Liability, Engineering, Aviation, Crop, Others, etc.).

A.1.2 The fifteen schedules

Schedule	Content	Feeds into
1	Premium earned (net) — gross direct + RI accepted − RI ceded ± change in UPR	Revenue Account
2	Claims incurred (net) — paid + closing O/S − opening O/S, gross and net of RI	Revenue Account
3	Commission — direct, RI accepted, less RI ceded	Revenue Account
4	Operating expenses related to insurance business — employee remuneration, rent, repairs, printing, communication, legal, auditors' fees, advertisement, interest, depreciation, etc. (apportioned to segments)	Revenue Account
5	Share capital (with **5A** — pattern of shareholding: promoters Indian/foreign, others)	Balance Sheet
6	Reserves and surplus — capital reserve, securities premium, general reserve, catastrophe reserve, balance of profit in P&L	Balance Sheet
7	Borrowings — debentures/bonds, banks, financial institutions, others	Balance Sheet
8	Investments — **shareholders'** funds (**8A** — **policyholders'** funds); long-term and short-term, by category	Balance Sheet
9	Loans — security-wise, borrower-wise, performance-wise, maturity-wise	Balance Sheet
10	Fixed assets — gross block, depreciation, net block	Balance Sheet
11	Cash and bank balances	Balance Sheet
12	Advances and other assets — advance tax, prepayments, outstanding premiums, due from other insurers/reinsurers, accrued income, GST credit	Balance Sheet
13	Current liabilities — agents' balances, balances due to other insurers, premium received in advance, unallocated premium, sundry creditors, **claims outstanding**, due to subsidiaries, etc.	Balance Sheet
14	Provisions — **reserve for unexpired risk**, premium deficiency, taxation, proposed dividend, employee benefits	Balance Sheet
15	Miscellaneous expenditure (to the extent not written off) — discount on share issue, deferred expenses	Balance Sheet

Memory hook: **1–4 are Revenue Account schedules, 5–15 are Balance Sheet schedules**; "claims outstanding" sits in Schedule 13 (current liabilities) while "URR" sits in Schedule 14 (provisions).

A.1.3 Other mandatory parts of the annual accounts

- **Receipts and Payments Account** (cash flow, **direct method**).

- **Significant accounting policies and notes to accounts**, including the **segmental reporting** required by AS 17 and the **management report** (certifying registration validity, solvency, investment pattern, overseas exposure, claims ageing, etc.).
- **Auditor's report** in the prescribed format, including a certificate on cash balances, investments and the application of policyholders' funds.
- Statutory **ratios** (Section 17 / A.5) disclosed as part of the annual accounts.

A.2 Reserving — URR, IBNR and IBNER in practice

- **Unearned Premium Reserve (UPR)** is computed policy-by-policy on the **1/365 method** by virtually all insurers today; the 50% / 100% of NWP shortcut (Section 12) remains permitted but a switch needs IRDAI approval.
- **Premium Deficiency Reserve (PDR)** is assessed at the **segmental level (Fire, Marine, Miscellaneous)**, taking expected claims, expenses and maintenance costs against the UPR of the segment. If a deficiency exists it is charged to the Revenue Account and shown under provisions.
- **URR = UPR + PDR** is the amount shown in Schedule 14.
- **Outstanding claims (case reserves)** are set claim-by-claim on the basis of surveyor's / assessor's estimates and legal advice (Motor TP in particular).
- **IBNR / IBNER** are determined by the **Appointed Actuary** using standard actuarial methods (chain-ladder, Bornhuetter–Ferguson, expected loss ratio) on claims-development triangles, segment-wise, and certified in the actuarial report accompanying the accounts. IBNR includes claims in transit, reopened claims and ALAE; IBNER captures expected development on already-reported claims.
- For long-tail lines (Motor TP, liability) IBNR is a large component of total claims liability; for short-tail lines (Fire, Marine Cargo) it is small.

A.3 Solvency — the control level and reporting

- Under **Section 64VA of the Insurance Act, 1938** every insurer must maintain an excess of assets over liabilities of not less than the **Required Solvency Margin**, and IRDAI has fixed the **control level of solvency at 150%** (solvency ratio of **1.50**). Falling below the control level triggers a financial plan and supervisory action.
- Solvency is computed line-of-business-wise using RSM 1 (20% basis) and RSM 2 (30% basis) with Factors A and B from Table IA, as in Section 10; the factors sit between roughly 0.5 and 0.9, so an insurer cannot reduce its RSM below a floor by ceding heavily to reinsurers.
- Insurers file the solvency statement with IRDAI **quarterly** (and annually with the accounts), together with the statements of assets and liabilities, in the prescribed forms.
- **Technical liabilities** for solvency = URR + outstanding claims including IBNR/IBNER + PDR + catastrophe reserve.
- Assets listed in Section 10.1 are inadmissible (valued at zero); employee loans (Section 16.1) are likewise inadmissible.

A.4 Investment pattern for general insurers (Schedule III)

A general insurer's investable funds (policyholders' plus shareholders') must be invested broadly in the following pattern:

Category	Minimum / maximum
Central Government securities	**not less than 20%**
Central Government securities + State Government securities + other approved securities (including the 20% above)	**not less than 30%**
Housing and infrastructure investments (including loans to State Governments for housing and fire-fighting equipment)	**not less than 15%**
Approved investments (as per Section 27B of the Insurance Act and the regulations)	**not more than 55%** (the balance)
"Other than approved" investments	**not more than 15%** of the fund, subject to prudential and exposure norms

Other points:

- **Section 27B** of the Insurance Act governs the investment of general insurers' assets; investments must be in India.
- Exposure norms limit investment in any single investee company, group and industry sector.
- Investments must be made only in **rated instruments** (minimum "AA" or equivalent for approved status, with limited "A"-rated exposure allowed within caps).
- **Investment income** is apportioned between the policyholders' and shareholders' Revenue/P&L accounts in the ratio of their respective funds, and among segments in proportion to their technical reserves/premium as per the insurer's board-approved policy.

A.5 Standard ratios reported in the accounts

In addition to the ratios in Section 17, the annual accounts disclose:

Ratio	Formula
Gross Direct Premium to Net Worth	GDP ÷ Net worth
Net Commission ratio	Net commission ÷ Net written premium
Expenses of Management to GDP ratio	EoM ÷ Gross direct premium
Expenses of Management to NWP ratio	EoM ÷ Net written premium
Net Incurred Claims to NEP	(loss ratio — Section 17)
Combined ratio	Loss ratio + Expense ratio
Available Solvency Margin to Required Solvency Margin	ASM ÷ RSM (must be ≥ 1.5)
NPA ratio	Gross/Net NPA ÷ total investments or loans
Liquid assets to liabilities ratio	Liquid assets ÷ Policyholders' liabilities

Interpretation points for the exam:

- A **combined ratio above 100%** means the insurer is losing money on underwriting and depends on investment income.
- A **high retention ratio** signals greater risk appetite / less reliance on reinsurance.
- **Technical reserves to net premium** well above 1.0 is typical for long-tail portfolios (Motor TP-heavy insurers).

A.6 Relevant sections of the Insurance Act, 1938 (accounts and finance)

Section	Subject
Section 11	Accounts and balance sheet — separate Revenue Account for each class of business
Section 12	Audit of accounts
Section 15	Submission of returns to the Authority (accounts, actuarial reports)
Section 27 / 27B	Investment of assets — general insurers
Section 40B / 40C	Limitation of expenses of management — life / general
Section 64V	Valuation of assets and liabilities
Section 64VA	Sufficiency of assets — solvency margin

Quick revision — the 40 highest-yield facts

1. ASB constituted in **1977** under **ICAI**; Ind AS harmonised with **IFRS**, consultation with **NFRA**.
2. Standards cover **recognition, measurement, treatment, presentation, disclosure**.
3. Five GAAP principles: **Accrual, Conservatism, Economic Entity, Consistency, Going Concern**.
4. **Assets = Capital + Liabilities.**
5. ICAI issued **32** AS; AS 1 Disclosure of Accounting Policies, AS 2 Inventories, AS 3 Cash Flow, AS 10 PPE, AS 15 Employee Benefits, AS 22 Taxes on Income, AS 29 Provisions.
6. For general insurers: **AS 3 direct method only; AS 13 not applicable; AS 17 applies to all**.
7. Companies Act 2013: **s.128** books, **s.135** CSR, **s.138** internal audit, **s.139** auditors (**139(7)** Govt companies), **s.149** Board, **s.177** Audit Committee.
8. IFRS issued by **IASB**; **IFRS 17 ↔ Ind AS 117** (Insurance Contracts).
9. Ind AS mandatory for listed companies from **FY 2016–17**; unlisted threshold **Rs 500 crore** net worth; NBFCs **Rs 250–500 crore**.
10. IRDAI (Actuarial, Finance & Investment Functions) Regulations **20 March 2024**; Master Circular **17 May 2024**.
11. Five schedules of the 2024 regulations: **I Actuarial, II Finance, III Investment, IV Loans & Advances, V Inspection & Returns**.
12. **GDP** excludes GST and premium received in advance.

13. **GWP = GDP + RI accepted; Net Premium = GWP − RI ceded; NEP = Net Premium ± UPR movement.**
14. **URR = UPR + PDR**; PDR when expected claims + expenses > UPR.
15. **Incurred claims = paid + closing O/S − opening O/S**; O/S includes IBNR/IBNER.
16. **IBNR** includes claims in transit, ALAE, reopened claims; **IBNER** = development on reported claims.
17. Premium received in advance and unallocated premium → **current liabilities**.
18. UPR: **Marine Hull 100%**, others **50%** of NWP, or pro-rata (1/365); change of method needs **IRDAI prior written approval**.
19. Inadmissible for solvency: agents' balances in India > **30 days**; co-insurers > **90 days**; GST credit > **120 days**; other reinsurers > **180 days**; Govt scheme receivables and Indian RI/FRB balances > **365 days**.
20. **DTA** from accumulated losses: 100% zero; other DTA: **75%** zero.
21. Furniture, dead stock, deferred expenses, fictitious assets, P&L appropriation debit balance → **zero** for solvency.
22. **RSM 1 = 20% × max(GP × Factor A, NP); RSM 2 = 30% × max(GIC × Factor B, NIC); RSM = higher, by LOB.**
23. **Solvency ratio = ASM ÷ RSM**; control level **1.50 (150%)**.
24. AS 3 classifies cash flows into **operating, investing, financing**.
25. Investments: real estate at cost → **Revaluation Reserve**; debt **HTM at cost**; listed equity at **fair value** → **Fair Value Change Account**; unlisted equity and loans at cost.
26. Financial statements: **B-RA** Revenue (policyholders), **B-PL** P&L (shareholders), **B-BS** Balance Sheet.
27. Figures rounded to the nearest **lakh**; previous-year figures mandatory; TDS on investment income → **advance taxes paid**.
28. Separate investment accounts for **shareholders'** and **policyholders'** funds.
29. Separate schedules: Motor (OD, TP), Health (Health, PA, Travel), WC, Liability, Engineering, Aviation, Crop, any sub-segment **>10%** of GDP, Others.
30. **Policyholders' funds** = O/S claims incl. IBNR/IBNER + URR + Catastrophe Reserve + Premium Deficiency + (other liabilities − other assets).
31. **Shareholders' funds** = share capital + reserves & surplus (excl. Revaluation Reserve and FVCA) − accumulated losses − misc. expenditure.
32. Employee loans: only full-time employees, seven purposes, cap **Rs 1 crore**, linked to fixed pay, **not admissible for ASM**.
33. Minimum paid-up capital: **Rs 100 crore** life / general / health; **Rs 200 crore** reinsurance.
34. Other forms of capital: **preference shares, subordinated debt**.
35. Priority of claims: **policyholders** → **creditors** → **subordinated debt** → **preference** → **equity**.
36. EoM limit general insurance: **30%** of GWP in India; extras **5%** (insurtech/awareness), **10%** (foreign branches/IFSC premium), **15%** (incremental rural/PMSBY/PMFBY premium).
37. **Combined ratio = NIC/NEP + (EoM incl. net commission)/NWP.**
38. **Net retention ratio = Net premium ÷ (GDP + RI accepted).**

39. **Net worth** = share capital + reserves & surplus − misc. expenditure − P&L debit balance; **net working capital** = CA − CL.
40. BRS from Cash Book to Pass Book: **add** cheques issued not presented and bank credits; **deduct** cheques deposited not collected, dishonoured cheques, bank charges and direct payments.
41. Provision = known liability of **uncertain amount**; reserve = appropriation / retained amount for a known liability.
42. Appendix: Schedules **1–4** feed the Revenue Account (premium, claims, commission, operating expenses); **5–15** feed the Balance Sheet; investment pattern — CG securities **≥ 20%**, Govt & approved **≥ 30%**, housing & infra **≥ 15%**, other approved **≤ 55%**.